

July 5, 2026 03:00 PM GMT

Software Snippets | Europe

Are Software Vendors Taking a Bite Out of IT Services?

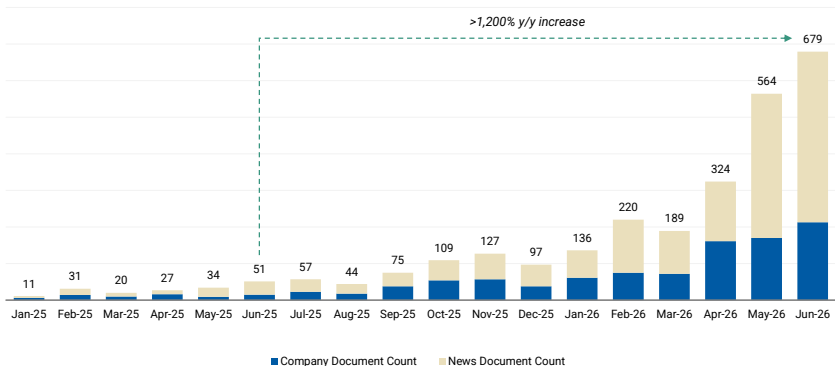
Important events in the world of Software & Services in the week ahead, and key MS research / stories from the past week.

Key Takeaways

- Big Tech's \$3.5bn AI deployment push (#Software, #IT Services)
- Fewer flights, more tokens: SAP plans cost savings to fund AI push (#SAP)
- IT Services: Still room for further downside (*MS Research*, #Tieto, #IT Services)
- Buy versus build? Base44 launches its own LLM (#Software, #IONOS)
- Cloudflare to rein in AI crawlers (#RELX, #Wolters Kluwer, #Informa)

1) Big Tech's \$3.5bn AI deployment push (#Software, #IT Services): Microsoft (covered by Josh Baer) this week [announced Microsoft Frontier Company](#) "a new operating business focused on delivering Frontier Transformation through AI". Microsoft described the initiative as going beyond traditional Forward Deployed Engineering (FDE), with a \$2.5bn investment, 6,000 embedded experts, and support from its SI partner ecosystem, including Capgemini. Separately, Amazon (covered by Brian Nowak) [announced a dedicated AWS FDE organisation](#), backed by \$1bn, which "focuses on business outcomes and leaves customers self-sufficient with AI". SAP CEO Christian Klein [has also spoken about creating FDE teams \(reportedly starting in July 2026\)](#). We see these announcements as evidence that enterprises may need more direct vendor support to move from AI experimentation to full deployment. [As we have written about previously](#), this could raise questions about dedicated IT Services firms' role in enterprise AI implementation, as software/cloud vendors move further into hands-on AI transformation services – although Microsoft's partnerships suggest the outcome may prove more collaborative than disruptive.

Exhibit 1: "Forward deployed engineer" mentions since Jan 2025



Note: Company document count and news document count as defined and captured by AlphaSense. Source: AlphaSense (02/07/2026), Morgan Stanley Research

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TECHNOLOGY - SOFTWARE & SERVICES

Europe

Industry View

In-Line

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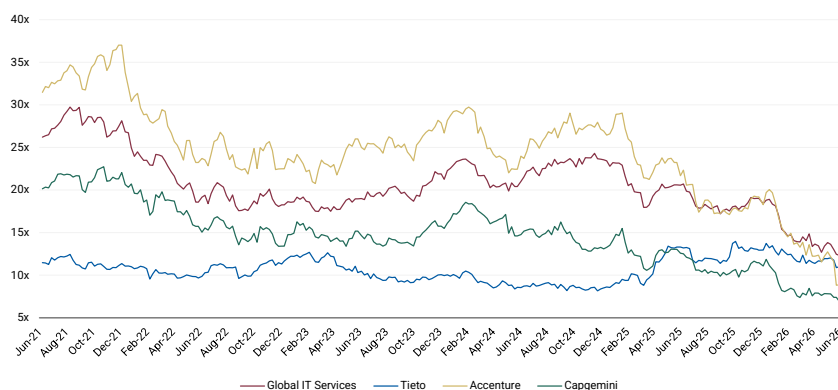
2) Fewer flights, more tokens: SAP plans cost savings to fund AI push (#SAP):

Bloomberg reported this week that SAP is cutting back hiring and travel costs (unrelated to AI) to devote more resources to developing AI technology. The company reportedly said "[we will] exclusively focus new hiring on selected profiles only, mainly core AI roles, that are critical for our long-term success", echoing comments made at Sapphire, where SAP acknowledged the need for greater AI investment, including in AI engineering talent. The comments follow a separate management reshuffle reported earlier this week, with CPO Muhammad Alam's product and engineering responsibilities to be split among CEO Christian Klein and COO Sebastian Steinhäuser, according to the article, ahead of Alam's expected departure in early 2027. Bloomberg also reported that "SAP will continue to search outside of the company for a new executive product lead [...] the company will target candidates in the US". Taken together, we see this newsflow as reinforcing the scale of SAP's AI pivot: the company is not only prioritising AI investment, but also reallocating costs, sharpening hiring priorities and reshaping executive accountability around that strategy.

3) IT Services: Still room for further downside (*MS Research*, #Tieto, #IT

Services): So far, 2026 has been a challenging year for IT Services, with the sector down ~30% YTD as investors grapple with a slower-than-expected recovery in enterprise IT budgets, and rising concerns that AI could structurally disrupt the labour-based revenue model. Despite this industry backdrop, Nordic leader Tieto has been an outlier: broadly flat YTD. Tieto trades on 11x CY26e adj. P/E, a 17%/34% premium to sector bellwethers Accenture and Capgemini, respectively. Given downside risk to both near-term growth expectations and the company's medium-term targets, we see the premium to global peers as unjustified, and reiterate our Underweight rating. [See our full note on Tieto here.](#) Our colleague Gaurav Rateria also recently wrote a deep dive on the Indian IT Services vendors, seeing room for further downside from here, and downgraded TCS to Equal-weight. Gaurav writes: "On a relative basis, we find the risk-reward no longer favorable for TCS – we downgrade to EW. We see a lack of signs of any growth acceleration, likely lower margins with accelerated investments and low-single-digit earnings CAGR over the next two years." [Read Gaurav's full note here.](#)

Exhibit 2: Historical NTM adj. P/E of Tieto, Accenture, Capgemini, and a group of global IT Services vendors



Note: Global IT Services group constituents = ACN-US, GIB.A-CA, CAP-FR, CTSI-US, IBM-US, LDOS-US, NETC-CSE, 532281-IN, 500209-IN, 532540-IN, 532755-IN, SOP-PAR, 507685-IN, GLOB-US, 532541-IN. Source: FactSet data, Morgan Stanley Research.

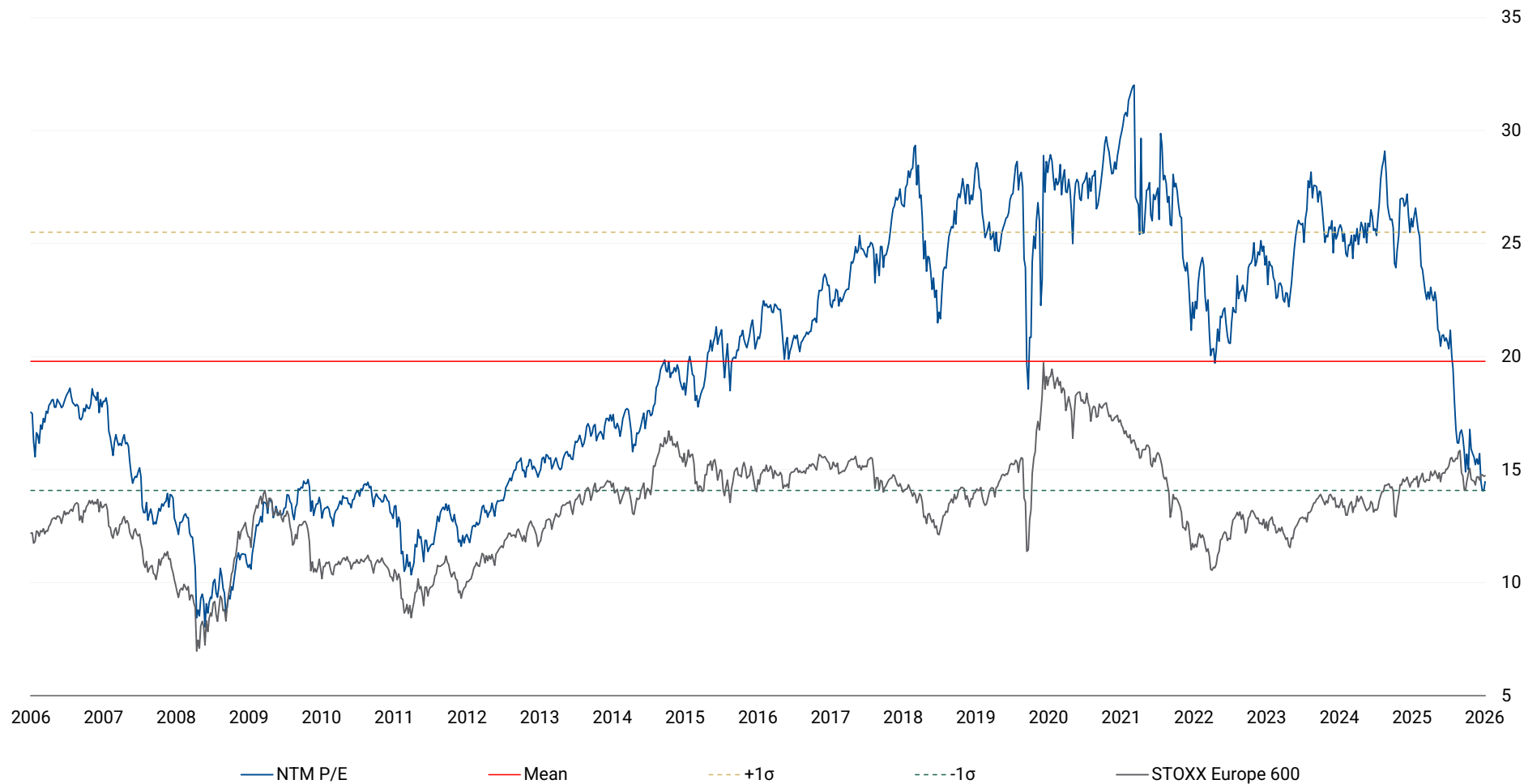
5) Cloudflare to rein in AI crawlers (#RELX, #Wolters Kluwer, #Informa): In a world where "automated agents and bots drive more than half of all web requests", Cloudflare (covered by Sanjit Singh) recognises that "most site owners want to be discoverable in AI [...] [but] maximizing discovery shouldn't mean giving away intellectual property for free". Starting September 15th, the company has announced that the default settings for new customers and for new sites for existing customers will be set to allow search, but block training and agent use on pages that display ads. This means that without permission from the site owner, crawlers that blend search, agent use, and training, could be blocked. We see this as part of a broader shift toward permissioned, attributable, and potentially monetised use of proprietary content in AI systems. This is particularly relevant for publishers and professional information providers such as RELX, Wolters Kluwer, and Informa, where proprietary data and trusted content remain central to their competitive moats. Relatedly, we note that back in May 2026 Elsevier, a part of RELX's STM business, joined a class-action complaint against Meta alleging the reproduction of copyrighted works in developing the Llama AI model.

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MORGAN STANLEY RESEARCH

Coverage Valuation vs. European Market

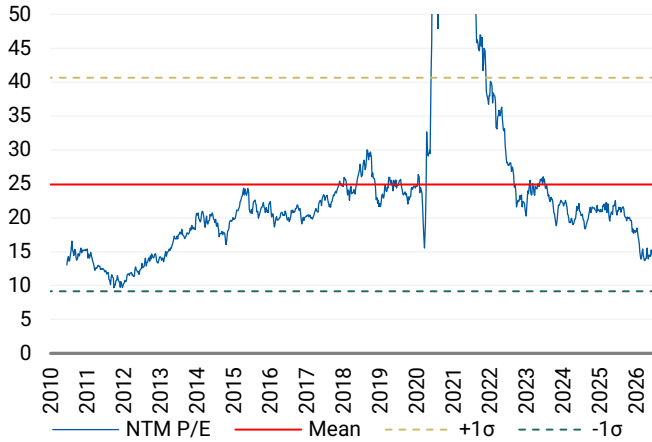
Exhibit 4: European Software & Services NTM P/E vs STOXX Europe 600



NB: Mean of CAP, DSY, INF, NEM, REL, SGE, SAP, TEMN, TIETO, and WKL. Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

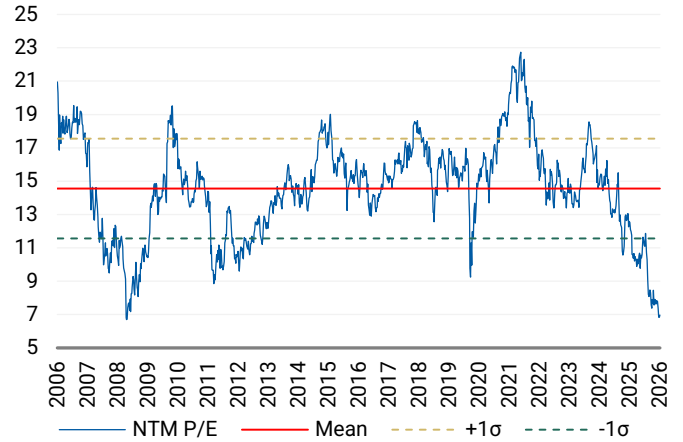
Long-Term Valuation Charts

Exhibit 5: Amadeus P/NTM Earnings



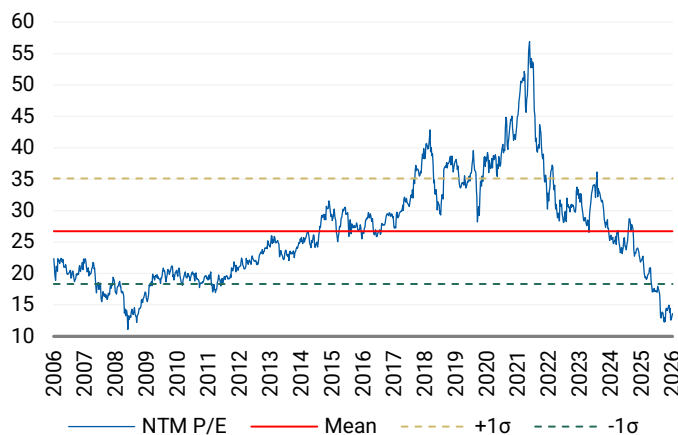
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 6: Capgemini P/NTM Earnings



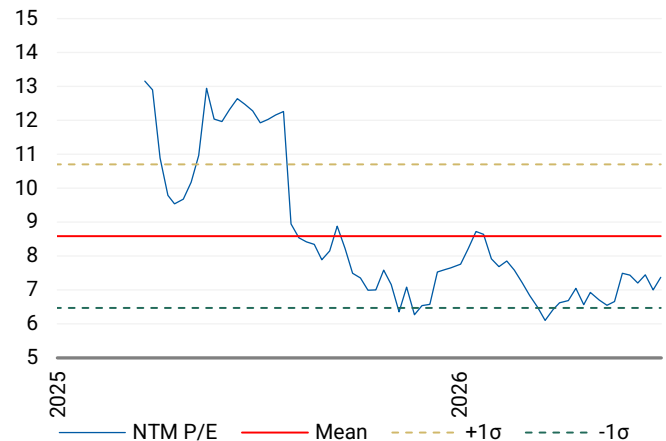
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 7: Dassault Systemes P/NTM Earnings



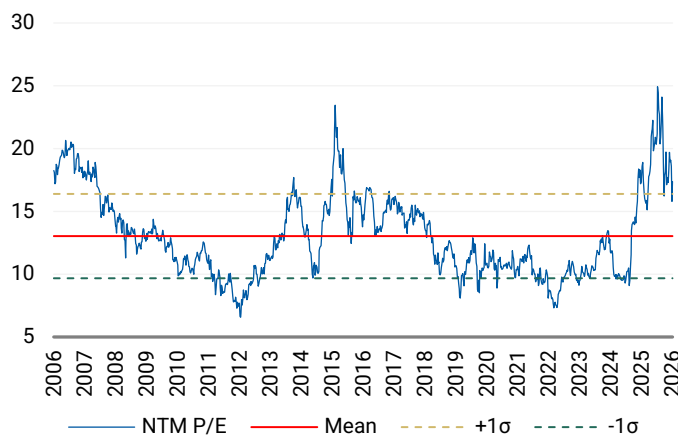
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 8: HBX Group International P/NTM Earnings



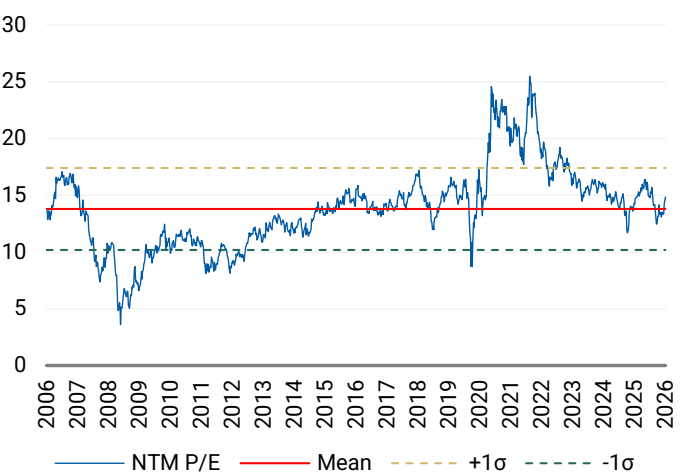
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 9: Indra P/NTM Earnings

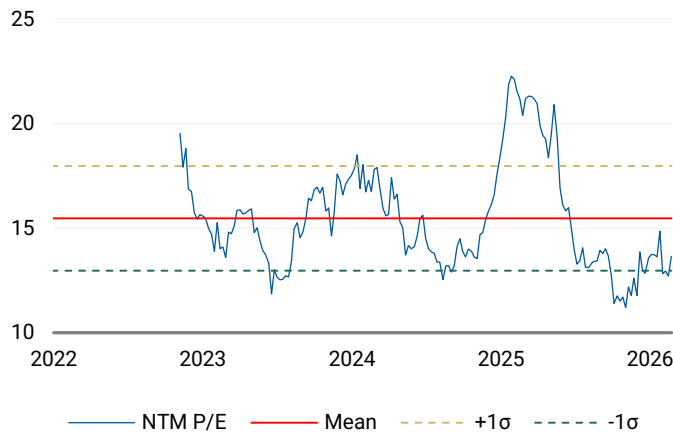


NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

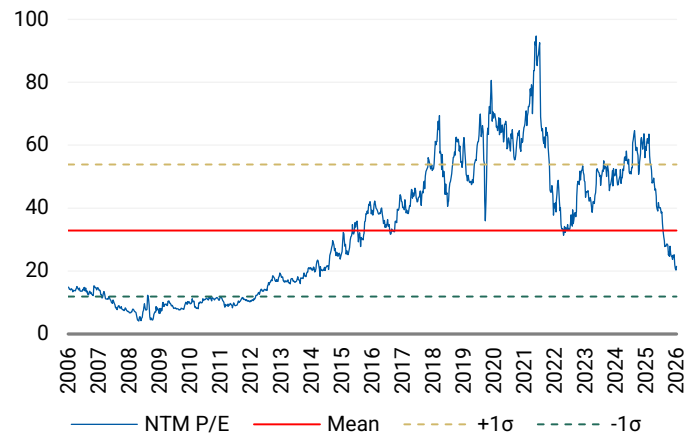
Exhibit 10: Informa P/NTM Earnings



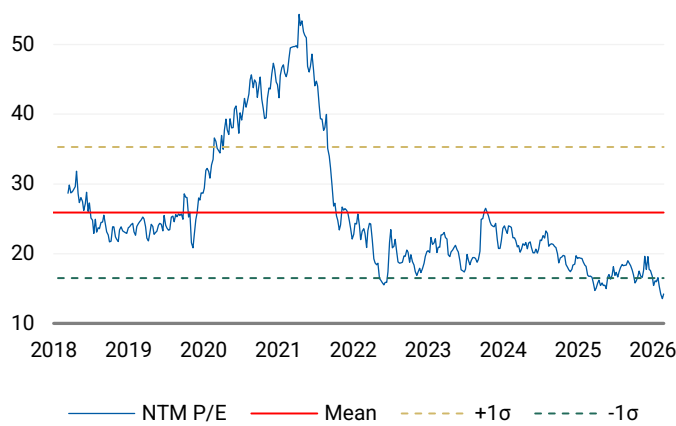
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 11: IONOS P/NTM Earnings

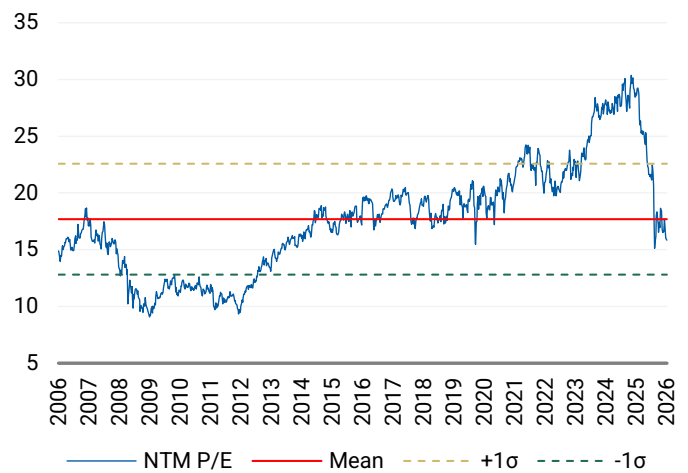
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 12: Nemetschek Group P/NTM Earnings

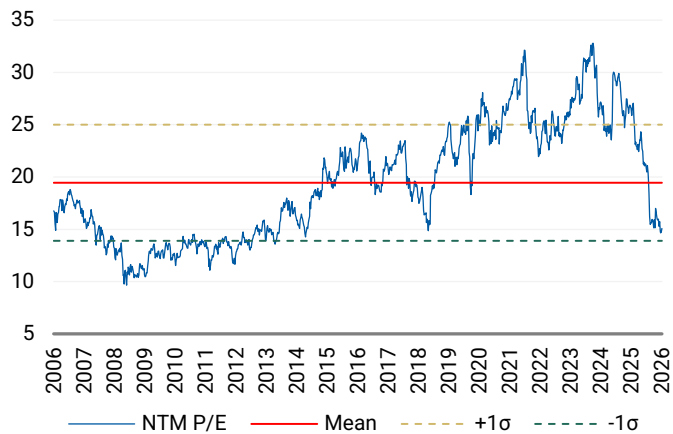
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 13: Netcompany P/NTM Earnings

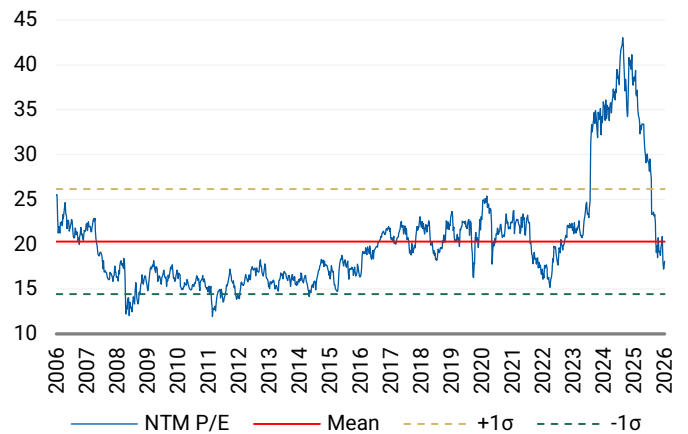
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 14: RELX P/NTM Earnings

NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

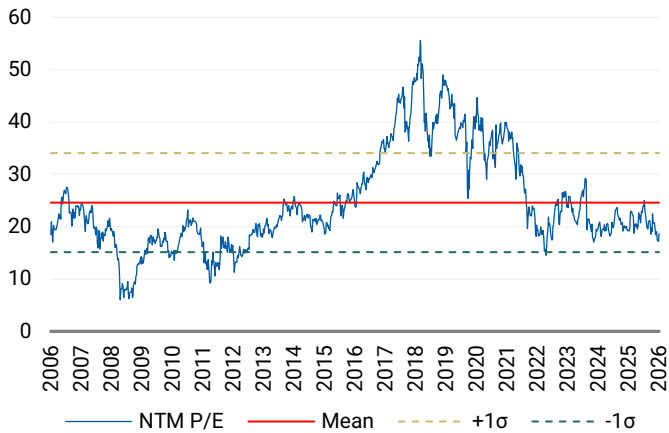
Exhibit 15: Sage Group P/NTM Earnings

NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 16: SAP P/NTM Earnings

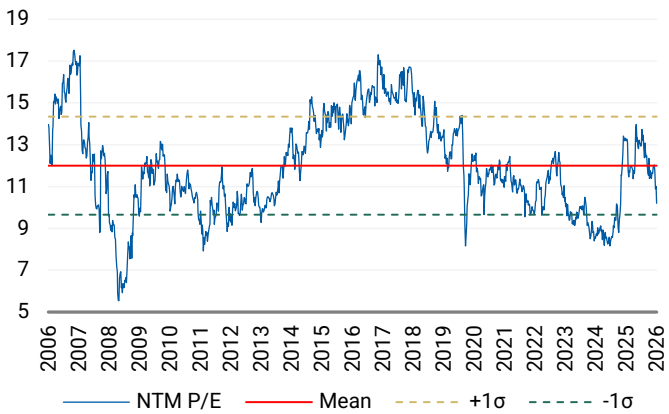
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 17: Temenos P/NTM Earnings



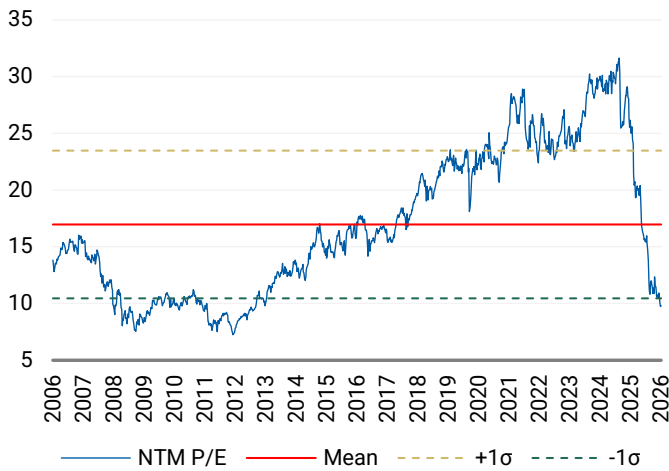
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 18: Tieto P/NTM Earnings



NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 19: Wolters Kluwer P/NTM Earnings



NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Coverage Company Guidance

Exhibit 20: Company Forward Guidance (1/2)

Published Company Guidance / Targets		
	FY26	Mid-term / Long-term
Amadeus	High single digit revenue growth (in cc) Adj. EBIT margin stable at cc (FY25: 29.1%) Adj. diluted EPS growth at low double-digit FCF between €1.35-1.45 billion	Over 2026-2028: High single digit annual revenue growth (in cc) Adj. EBIT margin expansion over the period Adj. diluted EPS growth CAGR at low double-digit FCF growth CAGR at high single digit
Capgemini	Revenue growth of +6.5 to 8.5% cc (organic c. 1.5 to 4%, MSe) Operating margin of 13.6% to 13.8% Organic FCF of €1.8 to 1.9bn	2028 financial ambitions: 2025-28 revenue CAGR at cc of +5.5-7.5% (c. +3.5-5.5% organic) Operating Profit pre-acquisition expense to reach 12.1-12.3% of revenue (c. 130-150bps expansion vs 2025) Cumulative organic FCF >€6bn over 2026-28
Dassault Systemes	Total revenue growth between 3 to 5% (cc) Software revenue growth 3 to 5% (cc) Services revenue growth of 2 to 6% (cc) Adj. EBIT margin guidance is 32.2 to 32.6% EPS €1.30 to 1.34	Basic 2029 EPS of €2.4
HBX Group	+11 to +15% YoY growth in TTV -4 to +1% YoY revenue growth -5 to -2% adj. EBITDA growth c. 90 to 100% operating FCF conversion	Low-double digit TTV annual growth High-single digit revenue growth Low sixties adj. EBITDA margin % c. 100% cash conversion
Indra Sistemas	Revenue >€7,000m in local currency Stated EBIT of > €700m Free cash flow of >€375m	Long-term (FY24-FY30): Revenues to reach €10bn in FY30 EBITDA margins >12% by FY26 and >14% by FY30 EBIT margin at 10% in FY26 and 12% in FY30 Cumulative FCF of >€3bn from FY24-FY30
Informa	6%± underlying revenue growth 7%+ B2B Events underlying revenue growth 4%± Taylor & Francis underlying revenue growth Return to revenue growth for TechTarget Underlying double-digit growth in adj. EPS	5%+ underlying revenue growth p.a. out to FY28
IONOS Group	Group: c. 7% revenue growth with c. 37-38% adj. EBITDA margin (CC) Web Presence & Productivity: 7-8% revenue growth (CC) Cloud Solutions: c. 10% revenue growth (CC)	Total revenue growth (CAGR) c. 10% Web Presence & Productivity revenue growth (CAGR) c. 9% Cloud Solutions revenue growth (CAGR) c. 20% Adj. EBITDA margin c. 40% Capex (% of revenue) c. 6%
Nemetschek Group	14-15% constant currency revenue growth 32-33% adj. EBITDA margin	None
Netcompany Group	Group revenue growth of 15-20% y/y (in CC), 5-10% excluding NBS Adj. EBITDA margin of 16-19%, 17-20% excluding NBS	Long-term: Annual organic revenue growth of 5-10% "through any business cycle" Adj. EBITDA margins >20% by (in) FY29
RELX	"We continue to see positive momentum across the group, and we expect another year of strong underlying growth in revenue and adjusted operating profit, as well as strong growth in adjusted earnings per share on a constant currency basis". Buybacks of £2,250m	None

Source: Company data, compiled by Morgan Stanley Research

Exhibit 21: Company Forward Guidance (2/2)

Published Company Guidance / Targets		
	FY26	Mid-term / Long-term
Sage Group	Organic total revenue growth in FY26 to be above 9% Operating margins are expected to trend upwards in FY26 and beyond	None
SAP	Cloud revenue of €25.8-26.2bn at cc (23% to 25% cc growth). Cloud and software revenue of €36.3-36.8bn at cc (12%-13% cc growth). Non-IFRS EBIT of €11.9-12.3bn (14-18% cc growth). Free cash flow c. €10bn	Expect total revenue growth to accelerate in 2027. Total operating expenses are expected to grow at 80 to 90% of total revenue growth in 2027.
Temenos	ARR growth of c. 12% Subscription and SaaS growth of c. 9% EBIT growth c. 9% FCF growth c. 16% (reported)	Mid-term (FY28): ARR to reach >\$1.23bn Non-IFRS EBIT of at least c.\$480m FCF of at least \$410m
Tieto	Organic growth of -2% to 0% and Adj. EBITA margins of 14.8 to 15.8%	Annual revenue growth of over 5% CAGR in 2027-2028 EBITA margins of over 16% by 2028
Wolters Kluwer	Good organic revenue growth Adj. EBIT margin: c. 28% Diluted adj. EPS growth (% cc): High single digit growth Adj. FCF (EUR, cc): €1,300m to €1,350m	None

Source: Company data, compiled by Morgan Stanley Research

Appendix: MS European Software & Services Coverage

Exhibit 22: Coverage Summary

Company	Analyst	Rating	Price Target		Software & Services		
Amadeus	George Webb	Overweight	EUR	65.00	amadeus	HEXAGON	DASSAULT SYSTEMES
Capgemini	George Webb	Equal-weight	EUR	117.00	Sage	HBX GROUP	NEMETSCHEK GROUP®
Dassault Systemes	George Webb	Equal-weight	EUR	21.75	temenos	SAP	indra
HBX Group International	Mark Hyatt	Equal-weight	EUR	7.90	Netcompany	Capgemini	IONOS
Hexagon AB	George Webb	N/A	N/A	N/A	informa	RELX	tieto
Indra Sistemas	Adam Wood	Equal-weight	EUR	60.00	Wolters Kluwer		
Informa	George Webb	Overweight	GBp	1,085.00			
IONOS Group	George Webb	Equal-weight	EUR	29.40			
Nemetschek Group	George Webb	Equal-weight	EUR	74.25			
Netcompany	George Webb	Underweight	DKK	334.00			
RELX	George Webb	Equal-weight	GBp	2,970.00			
Sage Group	George Webb	Overweight	GBp	1,110.00			
SAP	Adam Wood	Overweight	EUR	190.00			
Temenos	Mark Hyatt	Underweight	CHF	59.00			
Tieto	Mark Hyatt	Underweight	EUR	16.00			
Wolters Kluwer	George Webb	Equal-weight	EUR	80.50			

Source: Morgan Stanley Research

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(as of June 30, 2026)

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buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/02/2026)
Adam Wood		
Indra (IDR.MC)	E (01/12/2026)	€51.70
SAP SE (SAP.N)	O (02/20/2026)	US\$162.59
SAP SE (SAPG.DE)	O (03/20/2020)	€141.72
George W Webb		
Amadeus IT Holdings S.A. (AMA.MC)	O (04/10/2026)	€51.36
Cappgemini (CAPP.PA)	E (02/19/2026)	€91.56
Dassault Systemes SA (DAST.PA)	E (03/17/2026)	€18.67
Hexagon AB (HEXAb.ST)		SKr 81.86
IONOS Group SE (IOSn.DE)	E (05/12/2025)	€28.72
Nemetschek SE (NEKG.DE)	E (07/13/2022)	€55.70
Netcompany Group A/S (NETCG.CO)	U (01/12/2026)	DKr 308.00
Sage (SGE.L)	O (12/08/2021)	839p
Mark Hyatt		
HBX Group International PLC (HBX.MC)	E (04/17/2026)	€7.01
Temenos Group AG (TEMN.S)	U (12/15/2017)	SFr 69.85
Tieto Oyj (TIETO.HE)	U (01/12/2026)	€17.65

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